

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party
Complainants*

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party
Respondent.*

DOCKET NO. 24-17

Served: November 26, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge.*

**ORDER GRANTING COMPLAINANT’S MOTION TO DISMISS RESPONDENTS’ AMENDED
COUNTERCLAIM AND THIRD-PARTY RESPONDENT’S AMENDED MOTION TO DISMISS THE
AMENDED THIRD-PARTY COMPLAINT**

I. OVERVIEW

Complainant Samsung Electronics America, Inc. (“SEA”) initiated this action by filing a Verified Complaint (“VC”) on March 28, 2024. SEA filed its operative, four-count Verified Amended Complaint (“VAC”) on December 3, 2024.

On December 17, 2024, Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL”) filed a Verified Answer (“VA”) that included a Counterclaim (“CC”) against SEA, as well as a Third-Party Complaint (“TPC”) against Samsung Electronics Company, Ltd. (“SEC”). Both the CC and the TPC alleged that SEA and SEC violated § 41102(a) by knowingly or willfully attempting to obtain ocean transportation of property for less than applicable rates by means of bringing this case and making other demands. (*See* CC, ¶¶ 41-42; TPC, ¶¶ 62-63). Judge Chintella granted SEA’s motion to dismiss the CC on March 31, 2025, stating that: “there is simply no way, as a matter of law, that a facially legitimate dispute before the Commission can result in a complainant obtaining ocean transportation at less than applicable rates for purpose of § 41102(a).” (Order Granting Complainant’s Motion to

Dismiss Respondent's Counterclaim, at 5 (the "March 31 Order").¹ On July 30, 2025, the Commission issued an Order Affirming Dismissal of the Counterclaim (the "July 30 Order"),² but permitted OOCL to file an amended counterclaim.

OOCL filed its Amended Counterclaim ("AMCC") on August 13, 2025, and an Amended Third-Party Complaint ("ATPC") on September 29, 2025. The AMCC and ATPC, however, are both premised on the assumption that a fee dispute exists, and that OOCL will prevail in that dispute. That same dispute, however, is at the heart of SEA's facially-valid VAC. In other words, both the AMCC and the ATPC are based on a facially legitimate dispute before the Commission, which ultimately cannot result in a violation § 41102(a).

Accordingly, Complainant's Motion to Dismiss Respondents' Amended Counterclaim ("MTD AMCC") is **GRANTED**, and Third-Party Respondent's Amended Motion to Dismiss the Amended Third-Party Complaint ("MTD ATPC") is **GRANTED**.

OOCL's Amended Counterclaim is **DISMISSED**.

OOCL's Amended Third-Party Complaint is **DISMISSED**.³

II. BACKGROUND

A. Procedural Background

On March 28, 2024, the Office of the Secretary received the VC for filing. (*See* Notice of Filing of Complaint and Assignment). The VC identified SEA as the Complainant, and OOCL as the Respondent. In a nutshell, SEA alleged that it used OOCL to transport goods under so-called "store door" terms, which meant that OOCL was responsible for delivering SEA's goods to various inland destinations. (VC, at ¶¶ 16, 18). Beginning in approximately 2021, OOCL not only repeatedly failed to perform its delivery obligations, but it also imposed "various unreasonable demurrage and detention practices against SEA in connection with the delivery of SEA goods" thus causing SEA to incur "unreasonable costs, charges, delays, and other harms." (VC, at ¶¶ 19-20, 27-28, 30, 34-47). SEA also alleges that OOCL's invoices lacked adequate information and were therefore unreasonable. (VC, at ¶ 48). The VC contained six counts: Count

¹ This order is available on Westlaw at: *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited*, Dkt. No. 24-17, 2025 WL 1036409 (ALJ March 31, 2025). In my present order, I cite the version of the order that is on the FMC docket.

² This order is available on Westlaw at: *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited*, Dkt. No. 24-17, 2025 WL 2207363 (FMC July 30, 2025). In my present order, I cite the version of the order that is on the FMC docket.

³ If an administrative law judge has granted a motion for dismissal of the proceeding in whole or in part, any party desiring to appeal must file such appeal no later than twenty-two (22) days after the service of the ruling on the motion in question. In the absence of an appeal, the order of dismissal of a proceeding in whole or in part shall become the order of the Commission thirty (30) days after the date of service of such order unless within such-30 day period the Commission decides to review such order on its own motion. (46 C.F.R. § 502.227(b-d)).

I, violation of 46 U.S.C. § 41102(c) (unjust and unreasonable practices in handling property); Count II, violations of 46 U.S.C. § 41104(a)(3) – 46 U.S.C. § 41102(d) (retaliation); Count III, violations of 46 U.S.C. § 41104(a)(10) (refusal to deal); Count IV, violations of 46 U.S.C. § 41104(a)(15) (OSRA – invoices without information); Count V, violations of 46 U.S.C. § 41104(a)(14) (OSRA unreasonable charges); and Count VI, violations of 46 U.S.C. § 41102(c) (unjust and unreasonable dispute resolution practices).

On May 13, 2024, OOCL filed a motion to dismiss the VC. (*See* Respondent’s Motion to Dismiss the Complaint). On November 18, 2024, after the motion was fully briefed, Administrative Law Judge Alex M. Chintella, the then-presiding officer, issued an order partially granting the motion to dismiss, which dismissed Counts II and III of the VC, but allowed the remaining counts to survive. (*See* Order Partially Granting Motion to Dismiss). Judge Chintella’s order also permitted SEA to file an amended complaint, and required SEA to allege an amount of reparations it seeks. (*Id.*).

SEA filed the VAC on December 2, 2024. (*See generally* VAC). The VAC largely reiterates the allegations from the VC, contains only the four surviving counts, and alleges that SEA seeks \$14.3 million in reparations. (*Id.*).

OOCL filed its VA on December 12, 2024, which also contained the CC. (*See* VAC and CC). The CC alleged that SEC and SEA entered into service contracts with OOCL in 2021 and 2022. (CC, at ¶¶ 2, 4). Among other things, the service contracts permitted SEC and SEA to nominate truckers for inland transportation (i.e., “customer nominated truckers” or “CNTs”), but made SEC and SEA responsible for any delays caused by CNTs. (CC, at ¶¶ 3, 17). Although OOCL sent invoices to SEC and SEA because they incurred various fees through their untimely CNTs, SEC and SEA never took advantage of OOCL’s dispute resolution policy. To the contrary, SEC and SEA sent a demand for refunds and for waiver of any future charges on October 7, 2022 (the “October 7 Demand”), that lacked any specific details. Although OOCL asked for details, SEC and SEA never provided any, and ultimately filed the VC. (CC, at ¶¶ 18-26). The CC alleged that SEA violated 46 U.S.C. § 41102(a) by knowingly or willfully attempting to obtain ocean transportation of goods at less than applicable rates by an unjust or unfair means by making demands and filing the complaint seeking refunds and/or waiver of future fees. (CC, at ¶¶ 27-42).

On December 17, 2024, OOCL filed the TPC against SEC. It was substantially similar to the CC. (*See generally* TPC). The TPC, however, added that SEC controlled SEA. (TPC, ¶¶ 22, 64-65). Thus, while SEC did not send the October 7 Demand, or file the lawsuit, it is nevertheless violated § 41102(a) by means of its control over SEA. (*Id.*).

On January 6, 2025, SEA filed a motion to dismiss the CC. (*See* Complainant’s Motion to Dismiss Respondents’ Counterclaim). On March 31, 2025, after it was fully briefed, Judge Chintella granted the motion to dismiss. (*See* March 31 Order). The March 31 Order noted that a claim under § 41102(a) has three elements: 1) knowing and willful conduct; 2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” 3) respondent obtained or attempted to obtain ocean transportation at lesser rates. (March 31 Order, at 3 (citations omitted)). The March 31 Order reasoned that SEA’s filing of a facially valid complaint cannot satisfy the second element of a

§ 41102(a) claim, *i.e.*, an “unjust or unfair device or means.” (*Id.*, at 4-5). The March 31 Order also reasoned that the third element could not be satisfied, either, because the ultimate outcome of the lawsuit will be to determine the proper amount of fees that SEA owes. (*Id.*, at 5). Finally, the March 31 Order denied OOCL’s request for leave to amend its complaint based on futility grounds. (*Id.*, at 5-6).

On July 30, 2025, after this matter was reassigned to me, the Commission issued its July 30 Order. In the July 30 Order, the Commission agreed that a facially valid complaint cannot serve as a basis of a § 41102(a) claim because the second and third elements of a claim under § 41102(a) cannot be satisfied. (July 30 Order, at 11-15). The July 30 Order, however, also noted that the CC alleged that the pre-suit demand was an unjust or unfair device, which the ALJ did not rule on. (*Id.*, at 15-16, 20). In addition, the July 30 Order noted that OOCL argued that SEC and SEA deceived OOCL factually when they entered into the service contracts, but such allegations were not in the CC. (*Id.*, at 17-18). The July 30 Order remanded the matter to allow OOCL to amend its complaint – though the July 30 Order stated that it was unclear whether OOCL’s allegations of deception would state a valid claim. (*Id.*, at 18-21).

On August 13, 2025, OOCL filed the AMCC. (*See generally* AMCC). On September 8, 2025, SEA filed Complainant’s Motion to Dismiss Respondents’ Amended Counterclaim. (“MTD AMCC”). OOCL filed its Counter-Complainant’s Opposition to Counter-Respondent’s Motion to Dismiss the Amended Counterclaim (the “MTD AMCC Opp.”) on September 25, 2025. On November 13, 2025, the Commission received Complainant’s Reply in Further Support of its Motion to Dismiss Respondents’ Amended Counterclaim (“MTD AMCC Reply”).

Regarding the TPC, it was not served on SEC until August 13, 2025. (*See* Proof of Service on Third-Party Respondent Samsung Electronics Co., Ltd.).⁴ SEC filed its Third-Party Respondent’s Motion to Dismiss the Third-Party Complaint (the “MTD TPC”) on September 8, 2025. OOCL did not respond to the MTD TPC. Instead, the parties agreed that, due to the similarities between the CC and TPC, OOCL would be allowed to amend its TPC, at which time SEC could move to dismiss the ATPC. (*See* Order Granting Motion of September 18, 2025).

The ATPC was filed September 29, 2025. On November 13, 2025, the Commission received Third-Party Respondent’s Amended Motion to Dismiss the Amended Third-Party Complaint (“MTD ATPC”), OOCL’s Opposition to Samsung Electronics Company, Ltd. Motion to Dismiss Amended Third-Party Complaint (“MTD ATPC Opp.”), and Third-Party Respondent Samsung Electronics Co., Ltd., S/H/A Samsung Electronics Company, Ltd.’s Reply to Respondent’s Opposition to the Amended Motion to Dismiss the Amended Third-Party Complaint (“MTD ATPC Reply”).

⁴ Because SEC is a Korean entity, it could only be served by means of the Convention on the Service Abroad of Judicial and Extra-Judicial documents in Civil and Commercial Matters. (*See* Order Granting OOCL’s Motion for Reconsideration, and Denying SEC’s Motion to Dismiss Third Party Complaint, OOCL’s Motion for Alternative Service, OOCL’s Motion for Enlargement, and SEC’s Motion for an Order Preserving Defense, at 4-5).

B. Relevant Allegations in the Amended Counterclaim

The AMCC, filed August 13, 2025, alleges that in 2021 and 2022, SEC requested bids for delivery of cargo to North American ports, as well as inland locations, that would, among other things, permit SEC to use customer nominated truckers, or CNTs. (AMCC, at ¶¶ 8-12). SEC and OOCL ultimately entered into service contracts that incorporated a tariff provision that made SEC responsible for demurrage and detention charges unless the charges were OOCL's fault. (*Id.*, at ¶¶ 12, 28-31). SEC and SEA, however, allegedly concealed the fact that they "would not honor the terms of the Service Contracts regarding responsibility for delays." (*Id.*, at ¶ 33).

OOCL sent invoices to SEC and SEA for cargo-related charges, but SEC did not take advantage of OOCL's dispute resolution processes. (AMCC, at ¶¶ 34-36). To the contrary, on October 7, 2022, SEA allegedly transmitted a demand letter to OOCL that asserted that OOCL coerced SEA to pay millions in demurrage, detention and other fees, and demanded a refund, because "'OOCL was responsible for obtaining all necessary resources therefor under the store-door terms'" (the "October 7 Demand"). (*Id.*, at ¶ 37). The October 7 Demand contained little information to support SEC's and SEA's allegations, and although OOCL asked for additional information, this lawsuit was ultimately filed. (*Id.*, at ¶¶ 38-43).

The AMCC contains one count for an alleged violation of 46 U.S.C. § 41102(a). (AMCC, at ¶¶ 44-67). It contains the following allegations, which summarize the AMCC:

66. Samsung sought and achieved freight rates for the transportation of its cargo lower than those that would otherwise have been applicable, and achieved extended free times and other financial benefits for SEA, by reason of the unjust and unfair device or means of concealing its rejection of the clear provisions of the Service Contracts making SEA/Samsung expressly responsible for detention and demurrage charges resulting from the actions of SEA or its CNTs. Samsung and SEA continued this deception until after the Service Contracts expired and SEA/Samsung gained the benefits of their deceit, then demanding repayment of charges it had agreed to pay in the first place.
67. SEA has also sought and continues seeking lower rates or charges by demanding refunds of charges imposed on SEA pursuant to the terms of the Service Contracts, by refusing to pay lawful charges for its own failure to make timely pickup of cargo and timely return of OOCL equipment, and in demanding that OOCL waive future lawful charges. SEA, together with Samsung, has thus knowingly and willfully engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

(AMCC, at ¶¶ 66-67).

C. Relevant Allegations in the Amended Third-Party Complaint

Like the AMCC, the ATPC alleges that SEC and OOCL entered into shipping contracts that allowed SEC to use CNTs. (ATPC, at ¶¶ 12-16). SEC and SEA allegedly knew or should have known that they would be “responsible for detention and demurrage charges, unless charges resulted directly from delays that were the fault of OOCL[],” but nevertheless SEC and SEA concealed their position, both during the execution and performance of the service contracts, that neither SEC nor SEA “would accept responsibility for delay fees that were not the fault of OOCL.” (*Id.*, at ¶¶ 29-30; *see also* ¶¶ 38-47). OOCL allegedly sent invoices to SEC and SEA routinely. (*Id.*, at ¶ 48). SEC and SEA did not contest any of these invoices using OOCL’s dispute resolution mechanism, but instead SEA sent the October 7 Demand, which allegedly lacked specific details. (*Id.*, at ¶¶ 51-59).

OOCL’s ATPC again contains one count of alleged violation of § 41102(a). (ATPC., ¶¶ 70-87). OOCL’s allegations are summarized in this paragraph:

85. Samsung has, with its agents, affiliates, and consignees named above, violated 46 U.S.C. § 41102(a)(1) by:
- a. negotiating and entering into Service Contracts with OOCL that they knew obligated them to bear certain costs associated with Store Door deliveries;
 - b. inducing OOCL to enter into the Service Contracts on the rates, terms, and conditions set forth therein, and to provide services thereunder, concealing their disagreement with the clear terms of the Service Contracts making Samsung responsible for charges associated with inland delivery, then demanding refund of charges for which they were responsible under the Service Contracts.
 - c. attempting to obtain the transportation contracted for without bearing the applicable charges that they knew, or should have known, applied under the terms of the Service Contracts.

(ATCP, at ¶ 85; *see also* ATCP, at ¶¶ 60-67, 78-87). Regarding reparations, OOCL alleges that it: “has been exposed to damages in the amount alleged in the Amended Verified Complaint, specifically in excess of \$14,300,000 plus interest, as well as legal costs as a result of the proceeding filed against it by SEA” (ATCP, at ¶ 88).

III. ANALYSIS

A. Motion to Dismiss Standard

Although the Commission’s Rules of Practice and Procedure (“Commission’s Rules”) do not explicitly provide for motions to dismiss, Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound

administrative practice. (46 C.F.R. § 502.12). Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, the defense of failure to state a claim (12(b)(6)). (FED. R. CIV. P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011)).

“In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it.” (*Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted)). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

(*Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011)). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, while a complaint need not plead detailed factual allegations, the factual allegations it does include must be enough to raise a right to relief above the speculative level and to nudge . . . claims across the line from conceivable to plausible. This plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . . Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.

(*Cornell*, 2014 WL 5316340, at *6-7 (internal quotation marks and citations omitted); *see also Maher*, 2015 WL 9426189, at *12 (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”)).

The Commission has clearly indicated that federal case law interpreting Rule 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss in Commission proceedings. (*Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12).

B. Elements of a 41102(a) Claim

OOCL alleges that SEC and SEA violated § 41102(a). (*See generally* AMCC; ATPC). That section provides:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

(46 U.S.C. § 41102(a)). In an interpretive rule, the Commission has stated that:

An essential element of the offense is use of an “unjust or unfair device or means.” In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight. An “unjust or unfair device or means” could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.

(46 C.F.R. § 545.2).

As noted above, case law has developed three elements to a claim under § 41102(a): “(1) knowing and willful conduct; (2) through which, either ‘directly or indirectly,’ by means of the actions enumerated in the statute or through ‘any other unjust or unfair device or means;’ (3) respondent obtained or attempted to obtain ocean transportation at lesser rates.” (*Rana v. Franklin*, Dkt. No. 19-03, 2022 WL 1744905, *7 (FMC May 25, 2022); *see also* July 30 Order, at 8).

Regarding the first element, knowing and willful conduct, the complainant must show that the respondent had “‘knowledge of the facts of the violation’ and acted either intentionally or with ‘reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence.’” (*Rana*, 2022 WL 1744905, at *8 (citations omitted)).⁵

The second element “is established if the respondent used false billing or misclassification, or any other ‘unjust device or means’ to obtain ocean transportation at less than otherwise applicable rates.” (*Rana*, 2022 WL 1744905, at *8 (citations omitted)). When a party alleges an “unfair device” other than one of the “false” examples in the statute, “some type of ‘fraud or concealment’ comparable to those examples is required.” (July 30 Order, at 9); *see also Rose Int’l Inc. v. Overseas Moving Network Int’l, Ltd.*, Dkt. No. 96-05, 2001 WL 865798, *58 (FMC Jun. 1, 2001) (stating that “some kind of fraud or concealment” is required to satisfy the “unfair device or means” requirement). The July 30 Order discussed several examples of where liability was, or was not, found based on factual deception. (July 30 Order, at 9-10 (case

⁵ I do not discuss this element further below because I find it unnecessary to do so.

citations omitted)). The fraud or concealment “must be the *means by which* the respondent obtained or tried to obtain lower rates.” (*Rana*, 2022 WL 1744905, at *8 (citation omitted)).

“Finally, the third element is established by showing that respondent obtained or tried to obtain ocean transportation for less than the otherwise applicable rates.” (*Rana*, 2022 WL 1744905, at *9 (citation omitted)).

C. Discussion of Whether the AMCC and ATMC Fail to State a Claim

OOCL’s AMCC and ATMC allege, respectively, that SEA and SEC violated § 41102(a). In general, OOCL alleges that SEC and SEA obtained or attempted to obtain ocean transportation for less than applicable rates in two ways. First, SEC and SEA initially induced OOCL into entering service contracts by not communicating a disagreement about a material term of the shipping contracts, namely, who would be responsible for demurrage, detention, and other fees incurred by untimely performance by the CNTs, and then maintained their “deception” until after they received the benefits of these contracts. (AMCC, at ¶¶ 31-33, 66; ATPC, at ¶¶ 30-32, 45, 47). And second, SEC and SEA refused to pay invoices, made unspecified demands for the refund of fees paid, including those portions of the fees imposed by third parties, and cancellation of future fees. (AMCC, at ¶¶ 37-43, 64-65, 67; ATPC, at ¶¶ 51-55).

I find that the AMCC and ATPC both fail to state a plausible claim under § 41102(a) because there are no allegations that satisfy the second element of a § 41102(a) claim.

The second element of claim is that the respondent knowingly or willfully obtains or attempts to obtain ocean transportation of cargo for less than applicable rates, “‘directly or indirectly,’ by means of the actions enumerated in the statute or through ‘any other unjust or unfair device or means.’” (*Rana*, 2022 WL 1744905, at *7; *see also* July 30 Order, at 8).

The statute identifies the following false means: “false billing, false classification, false weighing, false report of weight, [or] false measurement[.]” (46 U.S.C. § 41102(a)). The AMCC and ATPC do not allege that SEC or SEA engaged in any of these false acts. Thus, OOCL must allege that SEC and SEA utilized some other unjust or unfair device or means.

To satisfy the “unjust or unfair device or means” requirement, OOCL must allege “some type of ‘fraud or concealment’” comparable to the examples given in the statute. (July 30 Order, at 9; *see also Rose Int’l*, 2001 WL 865798, at *58). Conduct found to satisfy the “unjust or unfair device or means” language includes: an NVOCC misrepresenting its financial solvency, and repeatedly making false assurances that it would assist the shipper, pay the ocean transport charges, and reimburse the shipper (*Rana*, 2022 WL 1744905, at *7-*10); an NVOCC certifying that it was utilizing a shipping contract, when, in fact, the NVOCC allowed an unlicensed and unbonded entity to access a shipping contract (*OC Int’l Freight, Inc.*, Dkt. No. 12-01, 2014 WL 5316336, *1, *5-6 (FMC Jul. 31, 2014)); creating “a sham NVOCC corporation under which non-tariffed and unbonded NVOCCs could access service contracts and offer ocean transportation to shippers” (*Rose Int’l*, 2001 WL 865708, at *58); issuing and then dishonoring letters of credit after acknowledging debt, and/or issuing and then stopping-payment on checks, thereby causing a party to surrender its possessory lien (*Shipco Transport Inc. v. Saturn Air Sea Cargo*, Dkt. No. 95-07, 1995 WL 348131 (ALJ Jun. 2, 1995)); *Waterman Steamship Corp. v.*

General Foundries, Inc., Dkt. No. 93-15, 1994 WL 279898 (FMC Jun. 13, 1994); *Tropical Shipping & Const. Co., Ltd. v. Valley Wide Produce, Inc.*, Dkt. No. 93-05, 1993 WL 285897 (ALJ, Jul. 20, 1993)); obstinately refusing to pay demurrage charges for several years – even after the shipper’s own auditor affirmed the charges (*Capitol Transportation, Inc. v. United States*, 612 F.2d 1312, 1322-24 (1st Cir. 1979)); and demanding a refund based on a misrepresentation of the size of cotton bales (*Hohenberg Bros. v. Fed. Maritime Comm’n*, 316 F.2d 381, 383-84 (D.C. Cir. 1963)). In contrast, a good-faith dispute cannot form the basis of an unjust or unfair device or means. (July 30 Order, at 11; *see also Waterman Steamship Corp. v. General Foundries, Inc.*, Dkt. No. 93-15, 1993 WL 13975538, *11 (ALJ Dec. 9, 1993) (*aff’d* Jun. 13, 1994); *Capitol Transp.*, 612 F.2d, at 1323).

Reading OOCL’s allegations closely, although OOCL’s AMCC and ATPC make relatively little reference to SEA’s VAC, OOCL’s allegations all presume the existence of a fee dispute, and turn on the assumption that SEA’s claims are baseless. As noted, OOCL alleges that SEC and SEA induced OOCL into entering service contracts, thereby giving SEC and SEA advantageous terms, by hiding their disagreement with a material term of the service contracts. (AMCC, at ¶¶ 31, 33, 66; ATPC, at ¶¶ 30-32, 66, 85). This hidden intent allegedly became manifest only when SEA made its October 7 Demand. (AMCC, at ¶ 66; ATPC, at ¶¶ 30-32, 45, 47-48, 66). Further, OOCL alleges that not only did SEA fail to give specific details to support the October 7 Demand, but that SEA’s demand was clearly unreasonable, such as asking OOCL to waive fees OOCL did not impose.⁶ (AMCC, at ¶¶ 31, 33, 64-67; ATPC, at ¶¶ 30-32, 45, 47-61, 66-67, 85).

But, the October 7 Demand is closely tied together with the claims that form the basis of SEA’s facially-valid VAC. SEA alleged in its VAC that it sent a demand letter to OOCL on October 7, 2022, that it challenged OOCL’s fees, and that it engaged in subsequent negotiations with OOCL unsuccessfully. (VAC, at ¶¶ 52-53). These are the same October 7 Demand and subsequent negotiations that form the basis of OOCL’s claims against SEC and SEA. (AMCC, at ¶¶ 64-65, 67; AMTC, at ¶¶ 51-55). In other words, OOCL’s claims are ultimately premised on a positive resolution of the same dispute that is the subject of the facially-valid VAC.

Indeed, in the ATPC, OOCL does not seek reparations in for the difference between ocean transport at spot rates versus shipping contract rates. Instead, OOCL seeks \$14.3 million in reparations, as those are the “damages in the amount alleged in the Amended Verified Complaint[.]” (ATPC, at ¶ 88). Restated, OOCL alleges that it seeks reparations based on the amount sought by SEA in the facially-valid VAC.

In sum, reading the AMCC and ATPC carefully, all of the allegations ultimately turn on the resolution of the same claims that form the basis of the facially-valid VAC. And a legitimate dispute cannot be an unjust or unfair means or device. (July 30 Order, at 11; *Waterman*

⁶ OOCL also asserts that it could have brought its claims even if SEA never filed its claims. (MTD AMCC Opp., at 14). If OOCL is correct that its claims are independent of SEA’s claims, then its claims could be appropriately severed pursuant to Rule 21 of the Federal Rules of Civil Procedure (made applicable through Commission’s Rule 12) should its claims be revived on appeal. But, as noted in the main text, OOCL’s allegations are premised on its prevailing against SEA’s claims.

Steamship, 1993 WL 13975538, *11; *Capitol Transp.*, 612 F.2d, at 1323). Therefore, neither the AMCC nor the ATPC allege an unfair or unjust device or means.

OOCL cites precedent to argue that its allegations form a plausible claim. OOCL relies on *Tropical Shipping*, and other cases involving alleged inducement based on misrepresentations, such as *Waterman Shipping*, *Shipco Transport*, or *China United Lines, Ltd. v. Amazon.com Services LLC*, 25-04, 2025 WL 1675842 (ALJ Jun. 6, 2025) (relevant portion of the Order was not appealed). In each of those cases, there was an alleged misrepresentation by the respondent, which induced reliance by the complainant to its detriment. For example, in *Tropical Shipping*, the ALJ entered a default judgment on a § 10(a) claim⁷ where the complainant carrier alleged that it transported cargo for the respondent based on a letter of credit that the respondent later dishonored. (*Tropical Shipping*, 1993 WL 285897, at *1). In *China United*, the ALJ denied a motion to dismiss a § 41102(a) claim where the carrier alleged that the shipper negotiated a shipping contract with the carrier with no intention of honoring its terms, and later cancelled the shipping contract on bad-faith grounds after ocean shipping rates dropped. (*China United*, 2025 WL 1675842, at *8-*11). The key difference between these cases and the present case, however, is that the only alleged evidence supporting OOCL's allegation that SEC and SEA induced OOCL by deception is that SEA is now challenging the fees.

OOCL relies on *Hohenberg Bros.*, 316 F.2d at 383-84, but its reliance is not persuasive. There, the D.C. Circuit affirmed a Commission decision finding a Section 16⁸ violation where the respondent made a demand for a refund from a carrier, even though there was no question that the respondent, in its refund demand, misrepresented the size of the cotton bales it shipped. (*Hohenberg Bros.*, 316 F.2d at 383-84). The respondent argued that it did not violate the statute because it did not perpetrate a fraud on the carrier; the carrier's vice president knew of the false claim, but he nevertheless accommodated the shipper and gave it a refund anyway. (*Id.*, at 383). The D.C. Circuit rejected that argument, finding that the statute does not require a fraud, but only a false act, such as a false billing. (*Id.*, at 384-85). Here, while it is unknown at this time if SEA will ultimately prevail on its claims, SEA's demands are not based on SEA's clear misrepresentations, as it was in *Hohenberg Bros.* Instead, SEA's demands are now the subject of a suit that survived a motion to dismiss.

OOCL argues that non-meritorious litigation positions can be the basis of a § 41102(a) claim, and relies on *Capitol Transportation*. This case, too, is not persuasive. There, a shipper initially refused to acknowledge a collection agency's authority to collect demurrage and detention fees, and consistently refused to pay invoices from the collection agency. (*Capitol Transp.*, 612 F.2d at 1315-16). After the collection agency filed suit for payment, the shipper agreed to hire an auditor to review claims; after the auditor acknowledged liability, the shipper still refused to pay claims. (*Id.*, at 1317). An ALJ found a violation of § 16 of the Shipping Act. (*Id.*). The appellate court upheld the violation. Although it stated that a stubborn but good-faith refusal to pay charges cannot be the basis of a violation of § 16, it found that the unexplained and

⁷ The provision now codified at 46 U.S.C. § 41102(a) is referenced in several older cases as § 10(a) of the Shipping Act of 1984.

⁸ The first paragraph of Section 16 of the 1916 Shipping Act contained a provision that is similar to current § 41102(a).

unjustified refusal to pay charges that the shipper admitted it owed did amount to a violation of § 16. (*Id.*, at 1323-24). The court stated, though, that “it would not be proper to extend this rationale to cases involving refusal to pay based on honest differences. . . .” (*Id.*, at 1324). Here, again, the October 7 Demand forms the basis both of SEA’s facially-valid VAC, and OOCL’s argument that the demand is an unjust or unfair means or device.⁹

In sum, I am not persuaded that the AMCC and the ATPC plausibly allege an unjust or unfair means or device because OOCL’s allegations all ultimately depend on a favorable resolution of the claims in SEA’s facially-valid VAC.

I also find that the AMCC and the ATPC do not allege that the SEC and SEA obtained ocean transportation at less than applicable rates. As discussed above, OOCL advances two general theories: 1) SEC and SEA were able to get access to service contracts by deceptive means; and 2) SEC and SEA made baseless demands for a refund. But, again, as discussed above, both of these theories ultimately assume the existence of a fee dispute where OOCL will win the day. Ultimately, the result of all of the suits – the VAC, the AMCC, and the ATPC – will either be that SEA will be allowed a refund for any unreasonable fees that OOCL charged, or OOCL will prevail, and SEA will have paid what it properly owed. (July 30 Order, at 14-15). Even to the extent OOCL alleges that SEC and SEA obtained access to shipping contract rates at less-than spot rates, OOCL nevertheless bases its reparations demand on the same amount of reparations that SEA seeks in the VAC. (ATPC, at ¶ 88). Accordingly, OOCL does not allege facts that would plausibly satisfy the third element of a § 41102(a) claim.

D. Discussion of Whether OOCL Should be Allowed to Amend

OOCL argues that the Commission allowed it to amend its complaint “at least” once, and that leave to amend should be freely given. (MTD AMCC Opp., at 25-26; MTD ATPC Opp., at 25-27).

The presiding officer has the discretion to allow amendments to pleadings. (46 C.F.R. § 502.66(a)). Under the Federal Rules of Civil Procedure, leave to amend pleadings should be freely given “when justice so requires.” (FED. R. CIV. P. 15(a)(2)). Denial of leave to amend constitutes an abuse of discretion unless sufficient reason is given, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies. (*SeaFair USA LLC v. Sterling Container Line, Ltd.*, Dkt. No. 22-34, 2023 WL 4418617, *1-*2 (ALJ Jul. 6, 2023) (denying a motion for leave to amend based on undue delay and prejudice)).

⁹ SEC argues that I should import the standards under Rule 9 of the Federal Rules of Civil Procedure. (MTD ATPC, at 10-16). I decline to reach that issue, as it is unnecessary. Regardless, were I to allow OOCL’s claims to survive, it appears that almost any carrier in OOCL’s position could bring similar allegations. For example, there have been several suits in recent years alleging that a carrier charged excessive demurrage and detention charges in violation of § 41102(c). Were I to accept OOCL’s position, then any carrier sued in one of the many excessive-fees cases could have countersued the shipper and alleged a § 41102(a) violation so long as the carrier alleged that the shipper had a long-hidden intent to deceive that was not manifest until the fee dispute arose. That appears to be an incorrect result.

OOCL's original CC was dismissed because it failed to allege an unjust or unfair device or means where it alleged that SEA's lawsuit, which survived a motion to dismiss, was the unjust or unfair means, and because it failed to allege that SEA obtained ocean transportation for less than applicable rates. (March 30 Order, at 4-5).

OOCL's original TPC against SEC had the same basic, problematic allegations that resulted in OOCL's CC being dismissed. (*Compare* CC, ¶¶ 41-42 *with* TPC, ¶¶ 62-63).

Although the Commission gave OOCL an opportunity to amend its pleadings, the AMCC and the ATPC have the same basic problem that OOCL's original CC and TPC had. Namely, the AMCC and the ATPC, like the original CC and TPC, are ultimately founded upon the existence of a dispute about the fees that OOCL charged SEA, which is the same dispute that underlies SEA's facially-valid VAC. Indeed, the ATPC essentially admits as much by seeking the same amount of reparations that SEA seeks in the VAC. (ATPC, at ¶ 88).

OOCL argues that the Commission's remand requires that I point out the deficiencies with its complaints, and allow OOCL yet another opportunity to amend. (MTD AMCC Opp., at 26; MTD ATPC Opp., at 26-27). I am not persuaded. The Commission's remand order required giving OOCL an opportunity to amend its CC. The Commission also stated that it was unclear that the additional conduct that OOCL described would present a plausible claim under § 41102(a). (July 30 Order, at 21). The Commission's remand did not require OOCL to have endless attempts to come up with a theory that sticks. OOCL had the opportunity to amend its CC and TPC, and it filed amended pleadings. Its amended pleadings have the same fundamental problems as the original pleadings. Therefore, it appears that allowing OOCL to amend further its AMCC and ATPC would be futile.¹⁰

IV. CONCLUSION

For the reasons discussed, I **ORDER** as follows:

Complainant's Motion to Dismiss Respondents' Amended Counterclaim is **GRANTED**.

Third-Party Respondent's Amended Motion to Dismiss the Amended Third-Party Complaint is **GRANTED**.

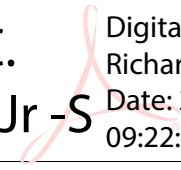
OOCL's Amended Counterclaim is **DISMISSED**.

OOCL's Amended Third-Party Complaint is **DISMISSED**

¹⁰ OOCL asserts that I should deny the motions to dismiss on prudential grounds because of future appeals and accompanying delay. (MTD AMCC Opp., at 7-8; MTD ATPC Opp., at 6-7). Given that OOCL has already attempted to refine its allegations under § 41102(a), that it wants still more opportunities to refine its allegations, and that it is openly stating that it will continue to make appeals and cause delay, it raises the question whether dilatory motive is also a reason to deny leave to appeal.

Third-Party Respondent's Motion to Dismiss the Third-Party Complaint is **DENIED** as moot.

Richard C.
Ambrow Jr -S



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Richard C. Ambrow Jr -S
Date: 2025.11.26
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Richard Ambrow
Administrative Law Judge